for its use of public resources and wielding the coercive power of the state.

6. *Board:* The law must write the role and structure of the board. The board must have a majority of non-government members, who must hold the management accountable; and the board must control the design of the organization. A majority of outside directors is essential in switching the strategic conversations from loyalty to voice. [3]

These six elements are well understood in mature democracies and are the foundation of high-performance government organizations, worldwide, but these are missing in Indian laws that create agencies. These six elements are worked out thoroughly in the draft Indian Financial Code (IFC), that was drafted by the Financial Sector Legislative Reforms Commission (FSLRC).

It is commonly argued that in India, we have fine laws which are badly implemented. We would argue the reverse: the bad outcomes that we see in India flow from badly drafted laws. When laws encode these six elements, we will obtain superior performance from agencies.

If these six elements are not encoded in the law that governs an agency, there is an intermediate stage where the board of an agency adopts these rules with the legal status of board resolutions. As an example, the IBBI has adopted a board regulation that establishes a legislative process in the absence of these elements in the IBC. This can get an agency on the path to high performance while a sound law has not yet been drafted.

Establish a leadership

There are many elements of the Indian state where the leadership has atrophied. Examples of these include most government hospitals, police stations, colleges, etc. At organizations without a leadership, we have a large number of functionaries operating in fixed process manuals, living each day exactly like they had lived previous days.